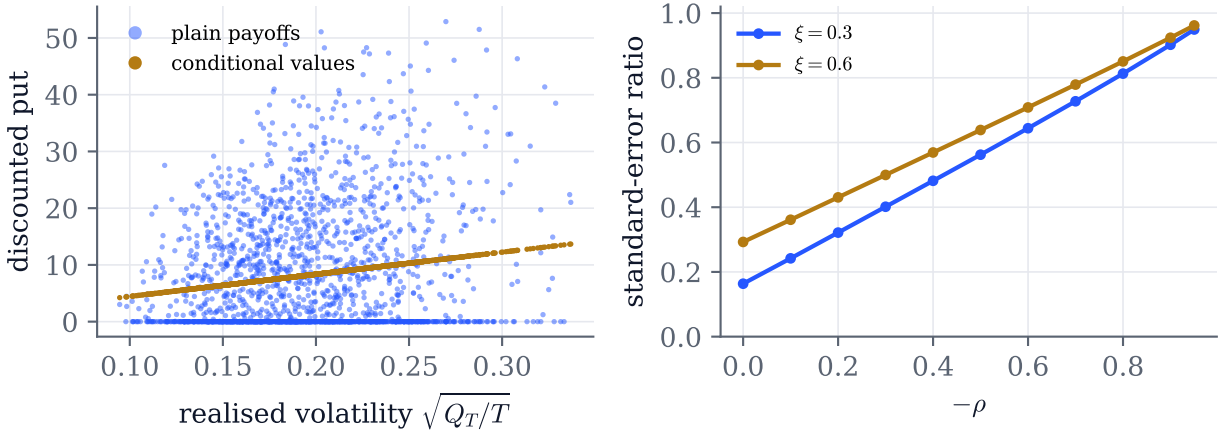

(a) $\rho = 0$: 2000 variance paths
plain payoffs
conditional values
discounted put
0
10
20
30
40
50
0.10
0.15
0.20
0.25
0.30
realised volatility $\sqrt{Q_T/T}$
(b) conditional against plain
$\xi = 0.3$
$\xi = 0.6$
standard-error ratio
0.0
0.2
0.4
0.6
0.8
1.0
0.0
0.2
0.4
0.6
0.8
$-\rho$